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REAL ESTATE THE NETHERLANDS

Recovery in Dutch commercial real estate is less robust than it appears

The Dutch commercial real estate market got off to a strong start in 2026, with first-quarter investment volumes more than 60% higher than a year earlier, but rising costs, execution bottlenecks and geopolitical uncertainty will weigh on both new developments and transaction activity



Dutch real estate is recovering, but underlying momentum remains fragile

Strong first quarter

The commercial real estate market recorded a strong start to the year, with investment volume in the first quarter more than 60% higher than a year earlier. The reduction in transfer tax for residential real estate as of 2026 (from 10.4% to 8%) appears to have provided a temporary boost, as investors postponed residential real estate transactions to the new year.

Growth will slow in the second half of 2026

This pace of growth is unlikely to continue for the rest of the year. Heightened geopolitical uncertainty since the start of the Iran war is making investors more cautious. Rising costs for construction, renovation and sustainability improvements are also making new-build projects

less financially viable and increasing costs for existing assets. As a result, investor appetite for older properties is weakening, as these assets typically require substantial renovation and sustainability investments.

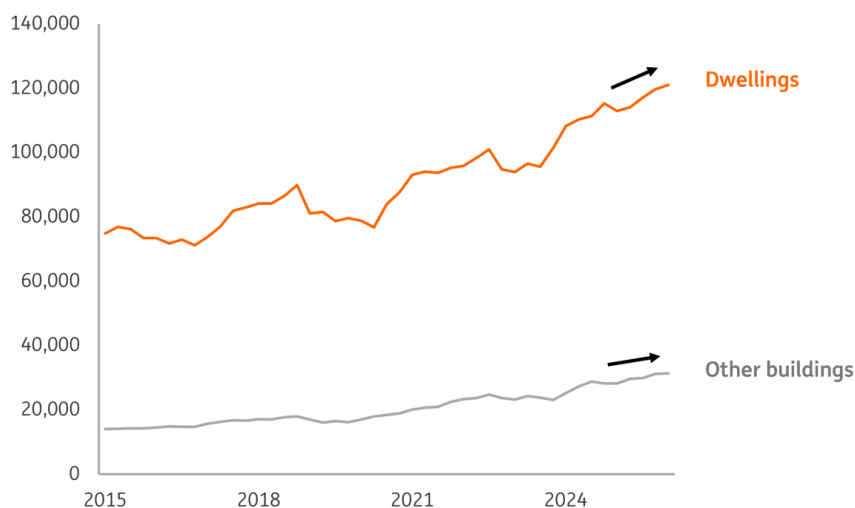
All in all, the recovery in the real estate market is less robust than it appears. Rising costs and execution challenges are increasingly weighing on real estate investment, while the temporary boost from the lower transfer tax has now faded.

Transitions require investment in existing assets

Rising construction and renovation costs contrast with the scale of investment needed to future-proof existing buildings. The energy transition and expectations of stricter climate policy are prompting investors to take long-term sustainability more explicitly into account in their acquisition and disposal decisions. Older office buildings lacking a viable business case for sustainability improvements are becoming less attractive, as are logistics properties without sufficient charging capacity.

More permitted new-build projects without construction starting

Permit pipeline* in number of dwelling units



* Total number of dwelling units for which only the permit is recorded in the Key Register of Addresses and Buildings and construction has not yet been observed at the end of the reporting period.
Source: Statistics Netherlands

Execution constraints intensify

Execution constraints are becoming more prominent in new-build projects, including grid congestion and nitrogen restrictions. These issues delay delivery and increase the number of

permitted homes awaiting the start of construction. Such bottlenecks are expected to constrain residential, office and logistics development more frequently in the coming years.

Moderately positive economic outlook

These headwinds are offset by a [moderately positive](#) economic outlook. The Dutch economy is growing modestly, supported by wage growth and government spending. It is also [more resilient](#) to new energy price shocks than a few years ago. In addition, capital market interest rates are expected to remain [relatively stable](#), helping to stabilise financing costs and support investor demand.

Domestically driven demand

Real estate demand is primarily driven by domestic investors, as foreign investors have largely exited the market in recent years. This retreat is partly explained by tax changes, including the stepwise increase in transfer tax from 2% in 2020 to 10.4% in 2025 (reduced to 8% in 2026, but only for residential property). In the residential segment, rent regulation introduced in 2024 has also weighed on investor interest.

Trends by segment

The commercial real estate market is developing differently across segments. Below, we highlight one of the most notable trends for residential real estate, offices, retail real estate and logistics real estate.

- **Residential real estate:** growth potential for investment in (affordable) rental housing is limited, as financial viability remains weak. This is confirmed by the Investment Climate Monitor^[1], used by the Dutch government to monitor the investment climate for mid-segment rental housing.

In addition, real estate transactions are still dominated by investors that intend to sell off older, existing rental properties on the owner-occupied market once the current tenant moves out. This is often more attractive than continuing to rent out these homes, due to the combination of higher interest rates, fiscal changes, rental regulation and increased prices of owner-occupied homes.

- **Offices:** institutional investors are increasingly focusing on societal impact, driven by their expectations of stricter climate policy and their own ESG policies. As a result, their interest in outdated buildings without a financially viable sustainability pathway is declining further.
- **Retail real estate:** the structural shift towards online shopping continues, potentially accelerated by the rise of agentic commerce. As a result, investor demand remains

concentrated in prime retail locations, where vacancy risks are relatively limited. Overall, the retail real estate stock continues to decline.

- **Logistics real estate:** Investors are becoming more cautious in making acquisitions. Vacancy rates outside traditional hotspots have risen, highlighting the importance of prime locations. At the same time, geopolitical tensions are increasing uncertainty around international trade, directly affecting demand for logistics real estate.

Despite this, the Dutch logistics real estate market remains attractive, supported by its strategic location and role as a transit hub. Larger, well-located assets with sufficient (scope for) charging infrastructure are however expected to perform better. Scale is becoming increasingly important for efficient operations, while the energy transition is pushing logistics players towards electrification. Given thin margins, these factors are gaining importance in investment and location decisions.

[1] The monitor was developed and launched by Professor Dirk Brounen (Maastricht University) and Professor Arno van der Vlist (University of Groningen / Amsterdam School of Real Estate) this year to systematically track the investment climate in the mid-rental housing segment. Accelerating the supply of affordable housing, including social housing and mid-rental homes, is currently a key policy priority in the Netherlands.

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